Marketing Management - Set 2

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. For a large sample (n >= 30), which test is used?
A. t-test
B. Lambda
C. Z-test
D. F-test only

2. Evaluating segments and selecting one or more to serve is
A. targeting
B. positioning
C. branding
D. segmentation

3. Uber, Slack and Duolingo illustrate the value proposition of
A. customer results
B. customisation
C. low pricing
D. quality

4. Rolls-Royce focusing on the ultra-luxury segment is
A. differentiated marketing
B. undifferentiated marketing
C. mass marketing
D. concentrated (niche) marketing

5. Sales records and customer databases are part of
A. information output
B. marketing research
C. internal records
D. marketing intelligence

6. The list of all eligible sampling units is the
A. quota
B. sampling error
C. sampling frame
D. census

7. A disadvantage of the production concept is
A. very high cost of research and development of new products
B. high prices that reduce the demand for the product
C. lack of innovation and poor customer service
D. heavy dependence on aggressive selling and high-pressure tactics

8. Customer satisfaction is key to the
A. increase in the number of intermediaries in the channel
B. avoidance of competition from other firms in the market
C. reduction of the wages paid to the employees of the firm
D. survival and growth of an organisation

9. Doubt about whether the right decision was made after a purchase is
A. problem recognition
B. brand loyalty
C. cognitive dissonance
D. perception

10. Same product, new perception through tone and channel is
A. intangible repositioning
B. product repositioning
C. tangible repositioning
D. image repositioning

11. Which Indian company markets the 'Good and Green' strategy?
A. Kansai Nerolac
B. SBI
C. Wipro
D. Godrej

12. Buying a car after extensive research and comparison between brands is
A. dissonance-reducing buying
B. variety-seeking buying
C. complex buying behaviour
D. habitual buying

13. Green marketing is also called
A. digital marketing or internet marketing of products
B. mass marketing or undifferentiated marketing of products
C. eco-marketing or environmental marketing
D. direct marketing or database marketing of products

14. The marketing concept shifts the focus from
A. producing at the lowest cost to selling more through promotion
B. improving the quality of the product to improving the packaging
C. finding the right customers for your product to finding the right products for your customers
D. selling the products to creating demand through discounts

15. Dividing customers into homogeneous sub-sets, each reached with a distinct marketing mix, is
A. market positioning
B. market skimming
C. market penetration
D. market segmentation

16. 'Positioning is not what you do to a product. It is what you do to the mind of the prospect.' was said by
A. Philip Kotler
B. Peter Drucker
C. Michael Porter
D. Al Ries and Jack Trout

17. NEXA is Maruti Suzuki's
A. commercial vehicle range for transport operators
B. two-wheeler brand for young riders in cities
C. budget car range for first-time buyers in small towns
D. premium retail experience for aspirational buyers

18. Which is the correct sequence of the buying decision process?
A. Problem recognition, information search, evaluation, purchase decision, purchase, post-purchase evaluation
B. Problem recognition, evaluation, information search, purchase, purchase decision, post-purchase
C. Purchase decision, evaluation, information search, problem recognition, purchase, post-purchase
D. Information search, problem recognition, purchase, evaluation, post-purchase evaluation, decision

19. The product concept assumes consumers favour
A. products that are widely available and available at a low price
B. products that protect the long-term well-being of society
C. products offering the highest quality, performance and innovation
D. products that are aggressively promoted through a large sales force

20. Customers pay for a product if they perceive

A. profit of the firm
B. noise
C. value
D. luck

21. 'Any customer can have a car painted any colour that he wants so long as it is black' is associated with
A. Philip Kotler
B. Steve Jobs
C. Henry Ford
D. Jeff Bezos

22. Building backlinks is part of
A. local SEO
B. technical SEO
C. on-page SEO
D. off-page SEO

23. Segmentation helps small firms with limited resources to
A. increase costs
B. compete more efficiently
C. avoid competition entirely
D. avoid customers

24. In a closed question, the respondent
A. chooses nothing
B. chooses from stated alternatives
C. writes a long answer
D. is not asked anything

25. Which function protects goods in transit and helps establish the brand?
A. Pricing
B. Warehousing
C. Packaging
D. Grading

26. Volvo owning the word 'safety' is positioning on
A. user
B. competitor
C. attribute
D. category

27. In PPC advertising, the advertiser pays
A. monthly salary
B. per page printed
C. when the ad is created
D. only when a user clicks the ad

28. Giving a product a name or symbol to identify and differentiate it is
A. branding
B. transportation
C. grading
D. labelling

29. Every unit having a known, equal, non-zero chance of selection is
A. simple random sampling
B. judgment sampling
C. convenience sampling
D. quota sampling

30. Marketing management is concerned with
A. planning, organising, directing and controlling marketing activities
B. recruiting, training and rewarding the employees of the firm

C. recording the transactions of the firm and preparing the final accounts
D. procuring the raw materials and converting them into finished goods

31. Benefits sought, usage rate and brand loyalty are bases of
A. geographic segmentation
B. demographic segmentation
C. behavioural segmentation
D. psychographic segmentation

32. How many types of value propositions are listed in the notes?
A. Seven
B. Ten
C. Five
D. Three

33. Nike By You (design your own shoes) is
A. uniqueness
B. low pricing
C. customisation
D. convenience

34. Age, gender, income and occupation are bases of
A. geographic segmentation
B. behavioural segmentation
C. demographic segmentation
D. psychographic segmentation

35. Dividing the population into homogeneous groups and sampling from each is
A. stratified random sampling
B. snowball sampling
C. cluster sampling
D. convenience sampling

36. Salt and sugar marketed with one offer to the whole market illustrate
A. differentiated marketing
B. concentrated marketing
C. micromarketing
D. undifferentiated marketing

37. 'Jaago Re' was launched by
A. Surf Excel
B. Bajaj
C. Tata Tea
D. Titan

38. Lifestyle, personality and values are bases of
A. geographic segmentation
B. behavioural segmentation
C. psychographic segmentation
D. demographic segmentation

39. Which scale has a true zero and meaningful ratios?
A. Ratio
B. Interval
C. Nominal
D. Ordinal

40. Patagonia and The Body Shop are examples of the
A. selling concept
B. societal marketing concept
C. product concept
D. production concept

41. Starbucks' welcoming atmosphere and personalised service build
A. wider distribution through the use of intermediaries
B. lower prices through economies of scale in production
C. a mass production system that cuts the cost of each cup
D. customer relationships

42. Skip interval in systematic random sampling equals
A. population list size / desired sample size
B. population list size x desired sample size
C. sample size / population list size, rounded to the nearest whole number
D. population list size - desired sample size

43. 'Kuch Meetha Ho Jaye' repositioned Cadbury Dairy Milk from a children's treat to
A. a baby food meant only for infants and toddlers
B. a premium gift item bought only on special occasions
C. a treat for all ages and occasions
D. a medicine for the treatment of throat and cold

44. The five components of an MIS include
A. data entry, programming, software design, hardware and networking
B. internal records, marketing intelligence, marketing research, data warehousing, information output
C. internal accounts, market forecasting, sales planning, budgeting and control
D. sales records, profit statements, balance sheets, audits and tax reports

45. Testing a questionnaire on a few respondents before the main survey is a
A. quota
B. pilot test
C. snowball
D. census

46. Plotting brands on two attributes to find white space is
A. SWOT analysis
B. perceptual mapping
C. break-even analysis
D. ABC analysis

47. A disadvantage of the selling concept is
A. heavy investment in research and the risk of product failure
B. short-term focus and no customer focus
C. lack of innovation and poor attention to quality of the product
D. high cost of social responsibility programmes undertaken by the firm

48. Which is a feature of marketing (as opposed to selling)?
A. Profit through sales volume
B. Product orientation
C. Short-term perspective
D. Profit through customer satisfaction

49. Store layout, music, lighting and scent are
A. legal factors
B. situational factors
C. economic factors
D. cultural factors

50. Information collected about competitors and industry trends belongs to
A. information output
B. marketing intelligence
C. data warehousing
D. internal records

Answer key - Set 2

1. **C**	11. **D**	21. **C**	31. **C**	41. **D**
2. **A**	12. **C**	22. **D**	32. **A**	42. **A**
3. **A**	13. **C**	23. **B**	33. **C**	43. **C**
4. **D**	14. **C**	24. **B**	34. **C**	44. **B**
5. **C**	15. **D**	25. **C**	35. **A**	45. **B**
6. **C**	16. **D**	26. **C**	36. **D**	46. **B**
7. **C**	17. **D**	27. **D**	37. **C**	47. **B**
8. **D**	18. **A**	28. **A**	38. **C**	48. **D**
9. **C**	19. **C**	29. **A**	39. **A**	49. **B**
10. **D**	20. **C**	30. **A**	40. **B**	50. **B**

Answers with explanations

1. For a large sample (n >= 30), which test is used?

Answer: C. Z-test

Why correct: For samples of 30 or more the Z-test is used.

A is wrong: t-test is for small samples.

B is wrong: Lambda is not a standard test.

D is wrong: F-test compares variances.

2. Evaluating segments and selecting one or more to serve is

Answer: A. targeting

Why correct: Evaluating and selecting segments to serve is targeting.

B is wrong: Positioning creates the image.

C is wrong: Branding names the product.

D is wrong: Segmentation divides the market.

3. Uber, Slack and Duolingo illustrate the value proposition of

Answer: A. customer results

Why correct: Uber, Slack and Duolingo promise results for the customer.

B is wrong: They are not customised products.

C is wrong: They do not compete on price.

D is wrong: Quality is not their main claim.

4. Rolls-Royce focusing on the ultra-luxury segment is

Answer: D. concentrated (niche) marketing

Why correct: Rolls-Royce serves only the ultra-luxury niche: concentrated marketing.

A is wrong: It does not have many segments.

B is wrong: It does not serve everyone.

C is wrong: It is not mass marketing.

5. Sales records and customer databases are part of

Answer: C. internal records

Why correct: Sales records and customer databases are internal records.

A is wrong: Output is the report.

B is wrong: Research is special studies.

D is wrong: Intelligence is external.

6. The list of all eligible sampling units is the

Answer: C. sampling frame

Why correct: The list of all eligible units is the sampling frame.

A is wrong: A quota is a target.

B is wrong: Sampling error is a deviation.

D is wrong: A census covers all.

7. A disadvantage of the production concept is

Answer: C. lack of innovation and poor customer service

Why correct: The production concept neglects innovation and customer service.

A is wrong: That is a cost of the product concept.

B is wrong: It tends to lower, not raise, prices.

D is wrong: That describes the selling concept.

8. Customer satisfaction is key to the

Answer: D. survival and growth of an organisation

Why correct: Satisfied customers keep the firm alive and growing.

A is wrong: More intermediaries is not the aim.

B is wrong: Competition cannot be avoided.

C is wrong: It is not about cutting wages.

9. Doubt about whether the right decision was made after a purchase is

Answer: C. cognitive dissonance

Why correct: Post-purchase doubt is cognitive dissonance.

A is wrong: Problem recognition starts the process.

B is wrong: Brand loyalty is repeat preference.

D is wrong: Perception is how we interpret stimuli.

10. Same product, new perception through tone and channel is

Answer: D. image repositioning

Why correct: Same product, new perception through tone and channel is image repositioning.

A is wrong: Intangible is not the term used here.

B is wrong: Product repositioning changes the product.

C is wrong: Tangible repositioning changes physical features.

11. Which Indian company markets the 'Good and Green' strategy?

Answer: D. Godrej

Why correct: Godrej uses the 'Good and Green' strategy.

A is wrong: Kansai Nerolac is a paint company.

B is wrong: SBI is a bank.

C is wrong: Wipro is an IT firm.

12. Buying a car after extensive research and comparison between brands is

Answer: C. complex buying behaviour

Why correct: Researching and comparing brands for an expensive buy is complex buying behaviour.

A is wrong: Dissonance-reducing has few brand differences.

B is wrong: Variety seeking is trying for fun.

D is wrong: Habitual is low involvement.

13. Green marketing is also called

Answer: C. eco-marketing or environmental marketing

Why correct: Green marketing is also called eco or environmental marketing.

A is wrong: Digital marketing is different.

B is wrong: Mass marketing is different.

D is wrong: Direct marketing is different.

14. The marketing concept shifts the focus from

Answer: C. finding the right customers for your product to finding the right products for your customers

Why correct: The marketing concept starts from the customer: find the right products for your customers.

A is wrong: That describes production to selling.

B is wrong: That describes quality to packaging.

D is wrong: That describes selling to discounts.

15. Dividing customers into homogeneous sub-sets, each reached with a distinct marketing mix, is

Answer: D. market segmentation

Why correct: Dividing customers into sub-sets each served with its own mix is market segmentation.

A is wrong: Positioning sets the image.

B is wrong: Skimming is a pricing method.

C is wrong: Penetration increases share.

16. 'Positioning is not what you do to a product. It is what you do to the mind of the prospect.' was said by

Answer: D. Al Ries and Jack Trout

Why correct: Al Ries and Jack Trout wrote this line about positioning.

A is wrong: Kotler did not.

B is wrong: Drucker did not.

C is wrong: Porter did not.

17. NEXA is Maruti Suzuki's

Answer: D. premium retail experience for aspirational buyers

Why correct: NEXA is Maruti Suzuki's premium retail experience.

A is wrong: Commercial vehicles are not NEXA.

B is wrong: Two-wheelers are not NEXA.

C is wrong: Budget range is Arena.

18. Which is the correct sequence of the buying decision process?

Answer: A. Problem recognition, information search, evaluation, purchase decision, purchase, post-purchase evaluation

Why correct: Sequence: problem recognition, information search, evaluation, decision, purchase, post-purchase.

B is wrong: Evaluation follows information search.

C is wrong: Decision cannot come before searching.

D is wrong: Search cannot come before recognising the problem.

19. The product concept assumes consumers favour

Answer: C. products offering the highest quality, performance and innovation

Why correct: The product concept assumes buyers prefer the highest quality and innovation.

A is wrong: Availability and low price is the production concept.

B is wrong: Long-term society well-being is the societal concept.

D is wrong: Aggressive promotion is the selling concept.

20. Customers pay for a product if they perceive

Answer: C. value

Why correct: Customers pay when they perceive value in the offer.

A is wrong: The firm's profit does not matter to the buyer.

B is wrong: Noise is not a reason.

D is wrong: Luck is not a reason.

21. 'Any customer can have a car painted any colour that he wants so long as it is black' is associated with

Answer: C. Henry Ford

Why correct: Henry Ford said this about the Model T.

A is wrong: Kotler is a marketing author.

B is wrong: Steve Jobs is Apple.

D is wrong: Bezos is Amazon.

22. Building backlinks is part of

Answer: D. off-page SEO

Why correct: Backlinks come from other websites, so they are off-page SEO.

A is wrong: Local SEO targets local searches.

B is wrong: Technical SEO is site speed and structure.

C is wrong: On-page SEO is content on the site.

23. Segmentation helps small firms with limited resources to

Answer: B. compete more efficiently

Why correct: Segmentation lets small firms compete efficiently by focusing.

A is wrong: It aims to cut waste, not raise costs.

C is wrong: Competition cannot be avoided.

D is wrong: Firms cannot avoid customers.

24. In a closed question, the respondent

Answer: B. chooses from stated alternatives

Why correct: A closed question gives fixed choices.

A is wrong: The respondent does choose.

C is wrong: A long answer is open-ended.

D is wrong: It does ask something.

25. Which function protects goods in transit and helps establish the brand?

Answer: C. Packaging

Why correct: Packaging protects goods in transit and builds the brand.

A is wrong: Pricing sets a value.

B is wrong: Warehousing stores.

D is wrong: Grading sorts.

26. Volvo owning the word 'safety' is positioning on

Answer: C. attribute

Why correct: Volvo owns 'safety' - an attribute positioning.

A is wrong: User positioning targets a user group.

B is wrong: Competitor positioning compares.

D is wrong: Category positioning defines the category.

27. In PPC advertising, the advertiser pays

Answer: D. only when a user clicks the ad

Why correct: In pay-per-click you pay only when someone clicks the ad.

A is wrong: Not a monthly salary.

B is wrong: Not per printed page.

C is wrong: Not on creation.

28. Giving a product a name or symbol to identify and differentiate it is

Answer: A. branding

Why correct: A name or symbol that identifies and differentiates the product is branding.

B is wrong: Transportation moves goods.

C is wrong: Grading sorts quality.

D is wrong: Labelling gives information.

29. Every unit having a known, equal, non-zero chance of selection is

Answer: A. simple random sampling

Why correct: Equal known chance for every unit is simple random sampling.

B is wrong: Judgment relies on the researcher's choice.

C is wrong: Convenience takes what is easy.

D is wrong: Quota fills set numbers.

30. Marketing management is concerned with

Answer: A. planning, organising, directing and controlling marketing activities

Why correct: Marketing management plans, organises, directs and controls marketing activities.

B is wrong: That is HR management.

C is wrong: That is accounting.

D is wrong: That is production/operations.

31. Benefits sought, usage rate and brand loyalty are bases of

Answer: C. behavioural segmentation

Why correct: Benefits sought, usage rate and loyalty are behavioural bases.

A is wrong: Geographic is place.

B is wrong: Demographic is statistics.

D is wrong: Psychographic is lifestyle.

32. How many types of value propositions are listed in the notes?

Answer: A. Seven

Why correct: The notes list seven types of value proposition.

B is wrong: Ten is too many.

C is wrong: Five is too few.

D is wrong: Three is too few.

33. Nike By You (design your own shoes) is

Answer: C. customisation

Why correct: Designing your own shoes is customisation.

A is wrong: Uniqueness is distinctiveness.

B is wrong: Low pricing is cost-based.

D is wrong: Convenience is ease.

34. Age, gender, income and occupation are bases of

Answer: C. demographic segmentation

Why correct: Age, gender, income and occupation are demographic bases.

A is wrong: Geographic is location.

B is wrong: Behavioural is usage.

D is wrong: Psychographic is lifestyle.

35. Dividing the population into homogeneous groups and sampling from each is

Answer: A. stratified random sampling

Why correct: Homogeneous groups sampled separately is stratified sampling.

B is wrong: Snowball uses referrals.

C is wrong: Cluster picks whole groups.

D is wrong: Convenience picks easy units.

36. Salt and sugar marketed with one offer to the whole market illustrate

Answer: D. undifferentiated marketing

Why correct: One offer for the whole market is undifferentiated marketing.

A is wrong: Differentiated uses many offers.

B is wrong: Concentrated serves one segment.

C is wrong: Micromarketing tailors to individuals.

37. 'Jaago Re' was launched by

Answer: C. Tata Tea

Why correct: 'Jaago Re' was launched by Tata Tea.

A is wrong: Surf Excel is 'Daag Achhe Hain'.

B is wrong: Bajaj has other taglines.

D is wrong: Titan has other taglines.

38. Lifestyle, personality and values are bases of

Answer: C. psychographic segmentation

Why correct: Lifestyle, personality and values are psychographic.

A is wrong: Geographic is place.

B is wrong: Behavioural is use.

D is wrong: Demographic is statistics.

39. Which scale has a true zero and meaningful ratios?

Answer: A. Ratio

Why correct: Ratio has a true zero so ratios mean something.

B is wrong: Interval has no true zero.

C is wrong: Nominal only names.

D is wrong: Ordinal only ranks.

40. Patagonia and The Body Shop are examples of the

Answer: B. societal marketing concept

Why correct: Patagonia and The Body Shop stress social and environmental good: societal marketing.

A is wrong: They do not push-sell.

C is wrong: They stress ethics beyond product quality.

D is wrong: They do not stress volume.

41. Starbucks' welcoming atmosphere and personalised service build

Answer: D. customer relationships

Why correct: A welcoming atmosphere and personal service build relationships with customers.

A is wrong: That describes distribution.

B is wrong: That describes cost leadership.

C is wrong: That describes mass production.

42. Skip interval in systematic random sampling equals

Answer: A. population list size / desired sample size

Why correct: Skip interval = population list size / sample size.

B is wrong: Multiplying is wrong.

C is wrong: That inverts the ratio.

D is wrong: Subtracting is wrong.

43. 'Kuch Meetha Ho Jaye' repositioned Cadbury Dairy Milk from a children's treat to

Answer: C. a treat for all ages and occasions

Why correct: 'Kuch Meetha Ho Jaye' made Dairy Milk a treat for all ages and occasions.

A is wrong: It is not baby food.

B is wrong: It is not only a premium gift.

D is wrong: It is not medicine.

44. The five components of an MIS include

Answer: B. internal records, marketing intelligence, marketing research, data warehousing, information output

Why correct: The five components: internal records, intelligence, research, data warehousing, information output.

A is wrong: Those are IT skills.

C is wrong: Those are accounting items.

D is wrong: Those are financial statements.

45. Testing a questionnaire on a few respondents before the main survey is a

Answer: B. pilot test

Why correct: A trial of the questionnaire on a few people is a pilot test.

A is wrong: A quota is a sampling method.

C is wrong: Snowball is a referral method.

D is wrong: A census is the whole population.

46. Plotting brands on two attributes to find white space is

Answer: B. perceptual mapping

Why correct: Plotting brands on two attributes shows gaps: perceptual mapping.

A is wrong: SWOT analyses strengths.

C is wrong: Break-even is a cost tool.

D is wrong: ABC analysis ranks items by value.

47. A disadvantage of the selling concept is

Answer: B. short-term focus and no customer focus

Why correct: The selling concept looks for quick sales and ignores long-term customer focus.

A is wrong: That describes the product concept.

C is wrong: That describes production.

D is wrong: That describes societal marketing.

48. Which is a feature of marketing (as opposed to selling)?

Answer: D. Profit through customer satisfaction

Why correct: Marketing earns profit through customer satisfaction.

A is wrong: Profit through sales volume is selling.

B is wrong: Product orientation is the product concept.

C is wrong: Short-term is a selling view.

49. Store layout, music, lighting and scent are

Answer: B. situational factors

Why correct: Store layout, music, lighting and scent are the situation at the point of purchase.

A is wrong: Legal factors are laws.

C is wrong: Economic factors are money.

D is wrong: Cultural factors are values.

50. Information collected about competitors and industry trends belongs to

Answer: B. marketing intelligence

Why correct: Competitor and industry information comes from marketing intelligence.

A is wrong: Information output presents results.

C is wrong: Data warehousing stores data.

D is wrong: Internal records are the firm's own data.